

Jurisdiction: Texas (State & Fed.)

Question

1. Under Texas law, does a landlord's hiring of an unlicensed mold remediator or failure to provide the 5-day TDLR notification (16 TAC § 78.150) constitute 'spoliation of evidence' or 'negligence per se' in a toxic tort or habitability lawsuit?

Under Texas law, a landlord's hiring of an unlicensed mold remediator or failure to provide the 5-day notification required by 16 Tex. Admin. Code § 78.150 does not automatically constitute "spoliation of evidence" or "negligence per se" in a toxic tort or habitability lawsuit. However, these actions may be relevant to claims of negligence or other legal theories depending on the specific facts of the case.

Spoliation Of Evidence

Spoliation of evidence generally requires intentional conduct that results in the destruction or alteration of evidence relevant to litigation. The Texas Supreme Court has held that a spoliation instruction is appropriate only when the trial court finds intentional spoliation of evidence, and even then, it is considered a severe sanction ( [Brookshire Bros., Ltd. v. Aldridge](#), 438 S.W.3d 9 (2014)) [1]. In the context of mold remediation, spoliation claims would likely require proof that the landlord intentionally destroyed or altered evidence of mold contamination to hinder litigation. The hiring of an unlicensed mold remediator or failure to comply with notification requirements under 16 Tex. Admin. Code § 78.150 does not inherently meet this standard. For example, in  [Brookshire Bros., Ltd. v. Aldridge](#) , the court emphasized the need for intentional conduct to justify spoliation sanctions ( [Brookshire Bros., Ltd. v. Aldridge](#), 438 S.W.3d 9 (2014)) [1]. Without evidence of intent to destroy or alter evidence, these actions alone would not constitute spoliation.

Negligence Per Se

Negligence per se arises when a party violates a statute or regulation designed to protect a specific class of persons from a particular type of harm, and the violation proximately causes the harm. Under 16 Tex. Admin. Code § 78.150, mold remediation contractors are required to notify the Texas Department of Licensing and Regulation (TDLR) at least five days before starting remediation for projects affecting 25 contiguous square feet or more ([16 TAC § 78.110](#)) [2]. This regulation is intended to ensure proper oversight and compliance with mold remediation standards. If a landlord hires an unlicensed mold remediator or fails to provide the required notification, these actions could potentially support a negligence per se claim if the plaintiff can establish that the regulation was designed to protect tenants from harm caused by improper mold remediation and that the violation proximately caused the plaintiff's injuries.

However, Texas courts have emphasized the need for reliable expert evidence to establish causation in mold-related cases. For example, in [McBeth v. SERVPRO Industries, Inc.](#) , the court rejected claims based on speculative causation theories unsupported by expert evidence ([McBeth v. SERVPRO Industries, Inc., Not Reported in S.W. Rptr. \(2024\)](#)) [3]. Similarly, in [Plunkett v. Connecticut General Life Ins. Co.](#) , expert testimony was deemed unreliable and insufficient to establish causation in a toxic mold case ([Plunkett v. Connecticut General Life Ins. Co., 285 S.W.3d 106 \(2009\)](#)) [4]. Therefore, even if a landlord's actions violate the regulation, plaintiffs must provide expert evidence linking the violation to their injuries to succeed on a negligence per se claim.

Application To Toxic Tort Or Habitability Lawsuits

In toxic tort or habitability lawsuits, plaintiffs must establish causation and damages, often requiring expert testimony. Courts have consistently required reliable scientific evidence to connect mold exposure to alleged health or property damages. For instance, in [Hamaker v. Newman](#), the court acknowledged that mold threatens physical health and safety but required proof that the landlord failed to make a diligent effort to remedy the condition within a reasonable time ([Hamaker v. Newman, Not Reported in S.W. Rptr. \(2022\)](#)) [5]. Similarly, in [Brown v. Tarbert, LLC](#), the court found no evidence that the landlord's conduct constituted a producing cause of the tenants' damages under the Deceptive Trade Practices Act (DTPA) ([Brown v. Tarbert, LLC, 616 S.W.3d 159 \(2020\)](#)) [6].

While hiring an unlicensed mold remediator or failing to provide the 5-day notification may be relevant to claims of negligence or habitability, these actions alone do not automatically establish liability. Plaintiffs must demonstrate that the landlord's conduct caused or contributed to their injuries, supported by reliable evidence.

In summary, under Texas law, a landlord's hiring of an unlicensed mold remediator or failure to comply with 16 Tex. Admin. Code § 78.150 does not inherently constitute spoliation of evidence or negligence per se. These actions may be relevant to claims of negligence or habitability, but plaintiffs must provide reliable evidence of causation and damages to prevail.

Commentary about this question

Cause of Action by Residential Owners and Tenants for Personal Injury and Property Damage Due to Toxic Mold

Causes of Action Second Series • 26 Causes of Action 2d 529 (Originally published in 2004)

This source addresses legal theories and defenses commonly involved in toxic mold litigation, including negligence, negligence per se, and implied warranty of habitability claims often pursued by tenants against landlords. It discusses obligations of landlords to maintain safe and sanitary premises under landlord-tenant law, as well as the significance of statutory compliance and notice requirements in such claims, though primarily citing non-Texas jurisdictions. The analysis highlights the role of expert testimony in establishing causation and notes defenses related to mitigation and notice. Reference is made to Texas-specific considerations such as the applicability of the Texas Deceptive Trade Practices Act (DTPA) and procedural standards for scientific evidence admissibility, including Frye-Robinson and Daubert standards. While spoliation of evidence and statutory notification under Texas regulations (e.g., 16 TAC § 78.150) are not specifically examined, the content outlines the legal landscape surrounding landlord liability and claims related to mold exposure under Texas law and comparable jurisdictions.

§ 15:3. Issues in establishing proof of exposure, injury, and causation

Toxic Torts Practice Guide • 1 Toxic Torts Prac. Guide § 15:3 (2025-1)

This treatise addresses issues central to toxic tort litigation, including exposure, injury, causation, and evidentiary standards governing expert testimony. It outlines the necessity of proving both general and specific causation via admissible expert opinions, particularly in cases involving mold exposure or chemicals, while contrasting standards across jurisdictions such as Texas and New York. The text discusses the complexity of establishing causation, the role of epidemiological and etiological evidence, and the burden of proof on plaintiffs. It also reviews landlord duties and tenant claims arising from

environmental hazards like mold, highlighting cases where expert testimony may or may not be required to demonstrate causation in habitability and toxic tort claims. Although the document does not specifically analyze Texas's § 78.150 notification requirement or spoliation doctrines, it provides a foundational understanding of negligence, evidence preservation, and causation standards in toxic tort and habitability contexts relevant under Texas law.

§ 3:22. The environmental setting—Indoor air contamination and sick building syndrome

Toxic Torts Practice Guide • 1 Toxic Torts Prac. Guide § 3:22 (2025-2)

This legal text discusses mold-related litigation focusing on toxic tort and habitability claims, including landlord liability for mold exposure and related negligence. It reviews various claims such as negligence, negligence per se, and evidentiary challenges in mold exposure lawsuits, often emphasizing proof of causation and expert testimony admissibility standards. The material references cases involving landlords' responsibilities to maintain safe premises and the complexities of mold-related health claims, including issues of defective remediation and disclosure duties. While jurisdictionally diverse, the treatise provides context on statutory and common law duties relevant to mold remediation obligations and potential consequences for non-compliance. Importantly, it addresses legal principles applicable to mold-related premises liability and outlines the challenges plaintiffs face proving injury causation, which is pertinent when considering statutory violations like Texas's TDLR notification requirement and their potential to constitute negligence per se or evidence spoliation.

The above response is AI-generated and may contain errors. It should be verified for accuracy.

Cases, statutes, and regulations

1. **Brookshire Bros., Ltd. v. Aldridge**

Supreme Court of Texas. • July 03, 2014 • 438 S.W.3d 9 • 2014 WL 2994435

"...In the underlying slip-and-fall premises-liability case, we are asked to determine whether the trial court erred in charging the jury with a spoliation instruction when a premises owner retained the requested portion of surveillance video footage of the plaintiff's fall, but allowed additional footage to be automatically erased. Applying the standard enunciated today, we hold that imposition of the severe sanction of a spoliation instruction was an abuse of discretion. We need not address the propriety of a particular lesser sanction because none was requested or imposed. We further hold that the trial court erred in admitting evidence of the circumstances of the spoliating conduct. Because these errors were not harmless, we reverse the court of appeals' judgment and remand the case for a new trial in accordance with this opinion...."

2. § 78.110. Notification of Mold Remediation Activities

16 TX ADC § 78.110

"...(a) General provision. A mold remediation contractor or company shall notify the department or the department's representative or designee of a mold remediation, as defined in S78.10(29), when mold contamination affects a total surface area of 25 contiguous square feet or more. The notification shall be: (1) submitted to the department or its representative or designee no less than five calendar days before the anticipated

start date of the mold remediation. The mold remediation contractor or company shall retain a confirmation that the department received the notification; (2) submitted on a department-approved form in a manner specified by the department. The form must be filled out completely and properly. Blanks that do not apply shall be marked "N/A." The "N/A" designation will not be accepted for identification of the work site, building description, building owner, individuals required to be identified on the notification form, start- and stop-dates, or scheduled hours..."

3. **McBeth v. SERVPRO Industries, Inc.**

Court of Appeals of Texas, Beaumont. • December 19, 2024 • Not Reported in S.W. Rptr. • 2024 WL 5161888

"...IV. Analysis. The McBeths' theory of recovery assumes, without reliable supporting expert evidence, that the unknown substance found on the subfloors in 2017 was, indeed, mold. Their theory further assumes, again without reliable supporting expert evidence, that this "mold" was toxic. Accordingly, the McBeths posit that S&R's failure to discover this "toxic mold" in 2017 was a producing cause of their damages. This approach to causation, however, overlooks the need for expert evidence to connect the mud-like substance found in 2017 with the mold found in 2019 that allegedly contaminated the house to the point that it became uninhabitable. See *Helena Chem. Co.* 664 S.W.3d at 71-80, 82 (affirming summary judgment absent reliable expert scientific evidence linking aerial spraying drift to reduced crop yield); *Starr*, 2015 WL 4139028, at *7 (requiring expert testimony to show causation in a mold case). Absent evidence of the standard of care in such a case, or that S&R had a duty to test the unknown substance in 2017, we cannot say that a S&R's acts or omissions caused or contributed to the McBeths' damages. See *Helena Chem. Co.*, 664 S.W.3d at 75, n. 5 (requiring the standard of care for aerial spraying to be shown by expert testimony); see also *Houston Area Safety Council, Inc. v. Mendez*, 671 S.W.3d 580, 582-85 (Tex. 2023) (discussing duty in the context of a negligence case)...."

"...IV. Analysis. Assuming without deciding that Servpro/S&R improperly advertised mold assessment or remediation, thus violating the DTPA or other relevant standards, if the unknown substance found in 2017 was not mold, it did not require remediation and could not have led to the mold "contamination" Rachal diagnosed two years later in 2019. Even if this mud-like substance was mold, if it was not toxic mold, the same logic applies: it could not have caused the McBeths' damages. Therefore, the threshold inquiry is whether the evidence shows that the McBeths' home contained toxic mold, or any mold, on June 29, 2017, the date that S&R allegedly should have recognized the "mold" and proceeded accordingly...."

4. **Plunkett v. Connecticut General Life Ins. Co.**

Court of Appeals of Texas, Dallas. • February 27, 2009 • 285 S.W.3d 106 • 2009 WL 485497

"...Testimony by residents' toxicology expert regarding property damages was scientifically unreliable, and thus did not establish either property damage or causation, as required in order for residents of apartment complex to maintain toxic mold exposure/property damages claims against complex owner and entities involved in the development, construction and management of the complex; expert's testimony was based on ambient indoor air quality tests (IAQTs) performed in apartment units during seven month period after complex was closed and the testing of furniture owned by former tenant of one of the units, testing indicated that furniture was contaminated with stachybotrys mold but the mold was not detected by such unit's IAQT, test samples of the furniture were not taken until two years after the last residents vacated complex, and no property item was tested concurrently with its presence in any apartment shown by an IAQT to contain airborne mold...."

5. Hamaker v. Newman

Court of Appeals of Texas, Fort Worth. • March 10, 2022 • Not Reported in S.W. Rptr. • 2022 WL 714554

"...4. Failure to Repair or Remedy. In order to establish liability for the landlord's failure to repair or remedy a condition, the plaintiff must establish (1) the existence of a landlord-tenant relationship; (2) a condition on the leased property that materially affected the physical health or safety of an ordinary tenant; (3) that the condition was either caused by ordinary wear and tear or not caused by the tenant, a lawful occupant, a member of the tenant's family, or the tenant's guest or invitee; (4) that the tenant gave the landlord notice to repair or remedy the condition; (5) that the tenant was not delinquent in paying rent when notice of the condition was given; and (6) that the landlord had a reasonable time to repair or remedy the condition but did not make a diligent effort to do so. Tex. Prop. Code Ann. SS 92.052, .056(b). Hamaker does not dispute that the presence of mold threatens physical health and safety; he also admitted as much in his testimony. He only contests whether Newman established that he did not make a diligent effort, within a reasonable amount of time, to repair or remedy the harmful condition...."

"...C. Newman Moved Out and Sought a Resolution. Hamaker testified that he received the letter on November 25 and described it as Newman's first written request for repairs and her first mention of mold concerns. According to Newman, Hamaker called and told her that he would sue her if she broke the lease. Hamaker drove to Dallas a few days later, on November 29, and, according to his testimony, he did not find any mold but "(a)s a precaution" sprayed areas with bleach, let them dry, and then sprayed them with a paint sealant. He also averred that he replaced some fittings on the hot water heater in the garage to repair a leak, that he installed a new smoke alarm (he claimed the wires on the existing smoke alarm had been cut), and that he cleaned three air-conditioning registers. He admitted that some of the wallpaper was peeled up but implied that Newman had done that; he also claimed that "mold is common underneath wallpaper" and that wallpaper should "never" be peeled back to expose the mold underneath...."

6. Brown v. Tarbert, LLC

Court of Appeals of Texas, Houston (14th Dist.). • December 29, 2020 • 616 S.W.3d 159 • 2020 WL 7753658

"...Even if tenants attached unauthenticated residential lease, mold report, and letter from tenants' doctor to their response opposing landlord's no-evidence summary judgment motion, there was no evidence that landlord's conduct constituted a producing cause of tenants' damages, in tenants' action alleging that house leased by landlord contained toxic mold and required repairs in violation of Deceptive Trade Practices-Consumer Protection Act (DTPA). Tex. Bus. & C. Code S 17.50(a)...."

"...Background: Tenants brought action against landlord, alleging that leased house contained toxic mold and required repairs and asserting claims of violation of Deceptive Trade Practices - Consumer Protection Act (DTPA), common-law fraud, fraud in a real-estate transaction under Business and Commerce Code, negligent misrepresentation, negligent hiring, supervision, and/or management, breach of contract, and violations of Property Code. Landlord filed summary judgment motion on no-evidence and traditional grounds, which the 157th District Court, Harris County, granted. Tenants filed motion to reconsider judgment and for new trial, which the trial court denied. Tenants appealed. Holdings: The Court of Appeals, Spain, J., held that: order striking exhibit "A" referred to tenant's affidavit, rather than tenants' residential lease; residential lease was not sufficiently authenticated to serve as summary judgment evidence; mold report was not sufficiently authenticated to serve as summary judgment evidence; letter from tenants' doctor was not self-authenticating, thus, could not serve as summary judgment evidence; argument in landlord's no-evidence summary judgment motion sufficiently

encompassed "producing-cause" element of tenants' DTPA claims; and there was no evidence that landlord's conduct constituted a producing cause of tenants' damages. Affirmed. Frost, C.J., filed concurring opinion...."

7. Caldwell v. Curioni

Court of Appeals of Texas, Dallas. • January 07, 2004 • 125 S.W.3d 784 • 2004 WL 33082

"...factual and procedural background. The Caldwells also offered the opinion of Porter, a licensed real estate broker, that "David Curioni should have been aware of, and remediated, the mold prior to renting his house to the Caldwells." The Caldwells contacted the Texas State Department of Environmental Health, who advised them to stay out of the house until the mold problem was fixed and recommended they hire Hulla, an industrial hygienist. Hulla collected and tested mold samples from the property and reported he found several strains of mold, including *Stachybotrys*, which produces a mycotoxin dangerous to humans. Also, Hulla reported on the amount of mold he discovered, but observed "(t)here are no established standards for permissible airborne fungal concentrations." The Caldwells consulted various doctors for treatment for themselves and their son regarding continuing problems they allege were caused by the mold. Reports from their doctors attributing their problems to exposure to mold were offered as summary judgment evidence by the Caldwells...."

8. Cleveland Regional Medical Center, L.P. v. Celtic Properties, L.C.

Court of Appeals of Texas, Beaumont. • September 30, 2010 • 323 S.W.3d 322 • 2010 WL 3782270

"...Intentional Invasion of Property Rights. The evidence established that Terracon performed testing around July 5, 2007 for suite 301A and on July 11, 2007 for suite 301B, and then issued a certificate of mold damage remediation for both suites on July 13, 2007. Celtic's expert testified that in July 2007, (after Terracon's mold remediation clearance) he still found mold present in suite 301B. Bridge attributed the mold he found in suite 301B to several different moisture sources, including wind-blown rain through an exterior door, plumbing leaks, and a water heater plumbing leak...."

9. Mays v. Pierce

Court of Appeals of Texas, Houston (14th Dist.). • September 26, 2006 • 203 S.W.3d 564 • 2006 WL 2729684

"...Contractor hired to remove toxic mold from homeowner's house did not engage in unconscionable conduct in violation of the Deceptive Trade Practices Act (DTPA), but instead merely breached its contract, when it represented that home contained toxic mold, instructed homeowner to vacate the premises, but subsequently failed to rebuild the house or remediate its contents, where contractor did not misrepresent the presence of mold or its risks, contractor's actions in removing home's contents and fixtures were performed pursuant to its contract, contractor contended that it was hired to remediate the home but was not hired to rebuild the house or remediate its contents, and evidence created only a suspicion of contractor's lack of intent to perform. V.T.C.A., Bus. & C. S 17.45(5)...."

"...Contractor hired to remove toxic mold from homeowner's house did not engage in false, misleading or deceptive acts and practices in violation of the Deceptive Trade Practices Act (DTPA), but instead merely breached its contract, when it failed to remove mold in a timely manner, restore home's contents and structure and provide a certificate showing house had been retested and was safe, as homeowner did not show she was harmed

by contractor's representations but only showed harm caused by contractor's failure to perform, and evidence created only a suspicion of contractor's lack of intent to perform. V.T.C.A., Bus. & C. S 17.46(b)(5), (7)...."

10. **Flores v. Allstate Texas Lloyd's Co.**

United States District Court, S.D. Texas, McAllen Division. • July 16, 2003 • 278 F.Supp.2d 810 • 2003 WL 22006302

"...Under Texas law, insureds who failed to notify homeowners' insurer of mold on bedroom ceiling within six months of its manifestation did not give prompt or reasonable notice within condition precedent to coverage under their homeowners' insurance policy...."

"...Insureds filed suit for breach of contract, bad faith and statutory violations against homeowners' insurer for failing to properly investigate and fully pay the claim for water and mold damage to their home. Insurer moved for summary judgment. The District Court, Crane, J., held that: (1) under Texas law, mold exclusion from dwelling coverage did not preclude coverage for mold "ensuing" from covered water damage event; (2) manifestation of damage triggered duty to notify insurer; (3) fact issues, including whether homeowners promptly repaired certain household leaks and when damage manifested itself, precluded summary judgment for failure to satisfy conditions precedent to coverage; and (4) notice given of mold on bedroom ceiling was not reasonably prompt as matter of law. Motion granted in part and denied in part...."

11. **Salinas v. Allstate Texas Lloyd's Co.**

United States District Court, S.D. Texas, McAllen Division. • July 23, 2003 • 278 F.Supp.2d 820 • 2003 WL 22006303

"...Under Texas law, homeowners' failed to satisfy prompt notice and reasonable repair conditions precedent to coverage under standard homeowners' policy when they did not notify insurer of mold growth near air conditioning system or make any repairs to stem mold growth for years after they became aware of problem...."

"...Insureds brought suit against homeowners' insurer for breach of contract, bad faith and Texas Insurance Code violations stemming from failure to pay claim for water and mold damage. Insurer removed action. On motions for summary judgment and partial summary judgment, the District Court, Crane, J., held that: (1) under Texas law, repeal of mold exclusion for personal property coverage did not also repeal mold exclusion for dwelling coverage; (2) insureds did not give prompt notice or make reasonable repairs regarding claims for mold damage stemming from air conditioning and master bath shower pan leaks; and (3) fact issue precluded summary judgment on claim for mold damage caused by roof leaks. Motions granted in part and denied in part...."

12. **Rao v. Rodriguez**

Court of Appeals of Texas, Beaumont. • May 16, 1996 • 923 S.W.2d 176 • 1996 WL 260855

"...Surviving tenant brought wrongful death action against landlords and nonowner manager in connection with fire in which smoke detector failed to function. The 75th District Court, Liberty County, J.C. Zbranek, J., entered judgment from which all parties appealed. The Court of Appeals, John G. Hill, J. (Assigned), held that: (1) liability could not be imposed under smoke detector statute absent request and notice; (2) statute did not apply to nonowner manager; (3) statute foreclosed common-law claims against landlords; (4) evidence was for jury on common-law claim against manager and supported jury's finding of negligence; and (5) statute's preemption of

common-law claims did not violate Texas Constitution's open courts provision. Affirmed in part; reversed and remanded in part...."

13. **Arlington Home, Inc. v. Peak Environmental Consultants, Inc.**

Court of Appeals of Texas, Houston (14th Dist.). • February 28, 2012 • 361 S.W.3d 773 • 2012 WL 639716

"...C. Arlington's DTPA Claim. (Arlington's Attorney) Q. If we scroll to the bottom of this e-mail, and if we can scroll out a little bit: Just received the lab results from the subject property. It passed. No stachybotrys-toxic black mold-chaetomium spores. These are the primary indicators of a moisture problem. It says: Interpretation of lab data, coupled with observations made at the time of the inspection, indicate no significant mold amplification expected to pose a threat to the subject property or its occupants...."

14. **In re Xterra Construction, LLC**

Court of Appeals of Texas, Waco. • May 15, 2019 • 582 S.W.3d 652 • 2019 WL 2147847

"...Tenant had no adequate remedy by appeal from spoliation sanctions imposed by trial court in landlords' action against tenant, which sanctions were imposed after tenant allegedly disposed of portable air mover that purportedly caused fire in warehouse tenant leased from landlords, and thus tenant was entitled to mandamus relief; trial court not only decreed that it would issue spoliation instruction to jury as to causation element of landlords' negligence and breach-of-contract claims against tenant, but also struck portion of tenant's pleadings denying causation element of landlord's claims and portion of tenant's pleadings designating manufacturer of air mover as responsible third party, and thus trial court's sanctions adjudicated any dispute regarding causation...."

15. **Shed v. Johnny Coleman Builders, Incorporated**

United States Court of Appeals, Fifth Circuit. • February 28, 2019 • 761 Fed.Appx. 404 • 2019 WL 994032

"...There was no evidence that tenant's alleged injuries were caused by mold in rental home, as required to support tenant's toxic tort claims against landlord under Mississippi law...."

Additional Research on This Topic

16. **Jones v. Zearfoss**

Court of Appeals of Texas, San Antonio. • January 07, 2015 • 456 S.W.3d 618 • 2015 WL 101592

"...Background: Purchasers of residence brought action against vendors for fraud, negligence, and violation of the Deceptive Trade Practices Act (DTPA) arising out of the discovery of mold contamination more than two years after the sale. The 25th Judicial District Court, Guadalupe County, W.C. Kirkendall, J., awarded summary judgment to vendors. Purchasers appealed. Holdings: The Court of Appeals, Patricia O. Alvarez, J., held that: vendors' statement that a water penetration event had been "professionally corrected" was not a

misrepresentation; any misrepresentation by vendors as to the source of the water penetration event was not material; any misrepresentation by vendors in characterizing the water penetration event as a "leak" rather than an "overflow" was not material; vendors satisfied their duty of disclosure with respect to the water penetration event; and water penetration event did not constitute "flooding." Affirmed...."

17. Allison v. Fire Ins. Exchange

Court of Appeals of Texas, Austin. • December 19, 2002 • 98 S.W.3d 227 • 2002 WL 31833440

"...BACKGROUND. In early April, Ballard met Bill Holder, an indoor air quality consultant, on a plane flight. Upon hearing about the damage to Ballard's house and physical symptoms that her family was having, Holder suggested that she might have a mold problem. Holder came to the Ballard house on April 5 at Ballard's insistence to take some air samples. The samples contained mold spores, including a type of mold called stachybotrys, which produces toxins that may cause health problems. On April 7, Ballard's lawyer sent a letter notifying FIE of the mold findings. Ballard, concerned about possible health effects of the mold, moved with her husband, Ron, and three-year-old son to the nanny's apartment. FIE's attorney suggested on April 8 that the parties mediate their dispute. Meanwhile, Holder met with Ballard, McConnell, and Steve Shelburne, McConnell's supervisor, on April 13 to discuss the mold findings. At the meeting, Holder explained the possible health effects of mold and that mold grows "exponentially."..."

18. § 78.150. Photographs; Certificate of Mold Damage Remediation; Duty of Property Owner

16 TX ADC § 78.150

"...(a) Not later than ten calendar days after the project stop-date, the licensed mold remediation contractor or company shall provide the property owner with copies of required photographs of the scene of the mold remediation taken before and after the remediation. (b) Not later than ten calendar days after the project stop-date, the licensed mold remediation contractor or company shall provide a Certificate of Mold Damage Remediation to the property owner on a form adopted by the Texas Commissioner of Insurance. The top section of this certificate is signed by a licensed mold assessment consultant and a mold remediation contractor for projects performed under the Texas mold assessment and remediation rules. The Certificate of Mold Damage Remediation must include the following: (1) a statement by a licensed mold assessment consultant (not the licensed mold remediator) that based on visual, procedural, and analytical evaluation, the mold contamination identified for the project..."

19. § 17.45. Definitions

TX BUS & COM § 17.45

"...As used in this subchapter: (1) "Goods" means tangible chattels or real property purchased or leased for use. (2) "Services" means work, labor, or service purchased or leased for use, including services furnished in connection with the sale or repair of goods. (3) "Person" means an individual, partnership, corporation, association, or other group, however organized. (4) "Consumer" means an individual, partnership, corporation, this state, or a subdivision or agency of this state who seeks or acquires by purchase or lease, any goods or services, except that the term does not include a business consumer that has assets of \$25 million or more, or that is owned or controlled by a corporation or entity with assets of \$25 million or more. (5) "Unconscionable action or course of

action" means an act or practice which, to a consumer's detriment, takes advantage of the lack of knowledge, ability, experience, or capacity of the1) "Economic damages" means compensatory damages for pecuniary loss, including costs of repair and replacement. The term does not include exemplary damages or damages for physical pain and mental anguish, loss of consortium, disfigurement, physical impairment, or loss of companionship and society...."

20. § 17.46. Deceptive Trade Practices Unlawful

TX BUS & COM § 17.46

"...(b) Except as provided in Subsection (d) of this section, the term "false, misleading, or deceptive acts or practices" includes, but is not limited to, the following acts: (27) subject to Section 17.4625, taking advantage of a disaster declared by the governor under Chapter 418, Government Code, or by the president of the United States by: (A) selling or leasing fuel, food, medicine, lodging, building materials, construction tools, or another necessity at an exorbitant or excessive price; or..."

"...(a) False, misleading, or deceptive acts or practices in the conduct of any trade or commerce are hereby declared unlawful and are subject to action by the consumer protection division under Sections 17.47, 17.58, 17.60, and 17.61 of this code. (b) Except as provided in Subsection (d) of this section, the term "false, misleading, or deceptive acts or practices" includes, but is not limited to, the following acts: (1) passing off goods or services as those of another; (2) causing confusion or misunderstanding as to the source, sponsorship, approval, or certification of goods or services; (3) causing confusion or misunderstanding as to affiliation, connection, or association with, or certification by, another; (4) using deceptive representations or designations of geographic origin in connection with goods or services; (5) representing that goods or services have sponsorship, approval, characteristics, ingredients, uses, benefits, or quantities which they do not have or that a person..."

21. § 17.50. Relief for Consumers

TX BUS & COM § 17.50

"...(h) Notwithstanding any other provision of this subchapter, if a claimant is granted the right to bring a cause of action under this subchapter by another law, the claimant is not limited to recovery of economic damages only, but may recover any actual damages incurred by the claimant, without regard to whether the conduct of the defendant was committed intentionally. For the purpose of the recovery of damages for a cause of action described by this subsection only, a reference in this subchapter to economic damages means actual damages. In applying Subsection (b)(1) to an award of damages under this subsection, the trier of fact is authorized to award a total of not more than three times actual damages, in accordance with that subsection..."

"...(a) A consumer may maintain an action where any of the following constitute a producing cause of economic damages or damages for mental anguish: (1) the use or employment by any person of a false, misleading, or deceptive act or practice that is: (A) specifically enumerated in a subdivision of Subsection (b) of Section 17.46 of this subchapter; and (B) relied on by a consumer to the consumer's detriment; (2) breach of an express or implied warranty; (3) any unconscionable action or course of action by any person; or (4) the use or employment by any person of an act or practice in violation of Chapter 541, Insurance Code. (b) In a suit filed under this section, each

consumer who prevails may obtain: (1) the amount of economic damages found by the trier of fact. If the trier of fact finds that the conduct of the defendant was committed knowingly,..."

Administrative decisions and guidance

Texas Department of Licensing and Regulation v. Sphaerus LLC dba Envirogyn

July 20, 2020 • 2020 WL 14020125

"...Sphaerus LLC dba Envirogyn SOAH Docket No. XXX-XX-XXXX.MLD TDLR No. MLD20190013381 July 20, 2020 PROPOSAL FOR DECISION The staff..."

"...and Regulation (Department) seeks to deny the application for a mold analysis laboratory license (MAL license) submitted by Sphaerus LLC d..."

"...Staff contends that Envirogyn is ineligible for licensure because it failed to provide an individual qualified to analyze mold samples in accordance with 16 Texas Administrative Code (TAC) § 78.62(C)(4) Envirogyn disputes Staff's proposed denial..."

"...to protect the public from the adverse health effects of mold. Pursuant to the authority granted to it under Code chapters..."

Texas Department of Licensing and Regulation, Petitioner v. Starbrite Electric, Inc. (TDLR No. ELC2011002849C), Respondent

October 29, 2012 • 2012 WL 5816983

"...Department of Licensing and Regulation, Petitioner v. Starbrite Electric, Inc. (TDLR No. ELC2011002849C), Respondent SOAH Docket No. XXX-XX-XXXX.ELC TDLR No. ELC2011004894C October 29, 2012 PROPOSAL FOR DECISION The staff (Staff) of the Texas Department of Licensing and Regulation (TDLR) brought this action against Starbrite Electric, Inc. (Respondent), for violating..."

"...Rosharon, Texas. Their general contractor, Andy Allen of Allen Construction, hired Respondent to perform the electrical work according to the blueprints..."

"...delays. Mr. Allen's e-mail also said that the Latiolais hired another electrician. [FN4] In July 2010, Ms. Latiolais called Respondent..."

"...in" was not finished and that the Latiolais had not hired another electrician. She also told Ms. Schavrda that they expected..."

Texas Department of Licensing and Regulation, Petitioner v. Starbrite Electric, Inc. (TDLR No. ELC2011002849C), Respondent

October 29, 2012 • 2012 WL 13410910

"...Department of Licensing and Regulation, Petitioner v. Starbrite Electric, Inc. (TDLR No. ELC2011002849C), Respondent SOAH Docket No. XXX-XX-XXXX.ELC TDLR No. ELC2011004894C October 29, 2012 PROPOSAL FOR DECISION The staff (Staff) of the Texas Department of Licensing and Regulation (TDLR) brought this action against Starbrite Electric, Inc. (Respondent), for violating..."

"...Rosharon, Texas. Their general contractor, Andy Allen of Allen Construction, hired Respondent to perform the electrical work according to the blueprints..."

"...delays. Mr. Allen's e-mail also said that the Latiolais hired another electrician. [FN4] In July 2010, Ms. Latiolais called Respondent..."

"...in" was not finished and that the Latiolais had not hired another electrician. She also told Ms. Schavrda that they expected..."

Additional secondary sources

SUPREME COURT UPDATE

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"...Williams then cross-claimed against West Oaks, alleging failure to train, failure to warn of the "inherent dangers of working with patients with [schizophrenic conditions]," failure to supervise, failure to develop protocols to avoid or minimize altercations between employees and patients, failure to provide adequate emergency notification devices, and failure to provide a safe work place...."

"...As to "health care," the Court concluded that Williams' claims involve training and staffing policies, as well as the supervision and protection of patients, already held as integral to the rendition of health care in Diversicare General Partner, Inc. v. Rubio, 185 S.W.3d 842 (Tex. 2005), and therefore squarely within the statutory definition of "health care liability claim."..."

"...The Court reasoned that, had the psychologist testified truthfully, the trial court would have been faced with testimony regarding a test that had only a 65 percent accuracy rate as applied to the case (instead of 85 percent, as the psychologist testified), was subject to at least some criticism in the literature as applied to the case, and had no support from independent studies as applied to the case...."

"...For each claim, the jury was asked to find two damage awards: (1) the difference, as of the date of closing, in the value of the home as it was received and the value it would have had if it had been as represented, and (2) the reasonable and necessary cost to repair the home...."

ANNUAL SURVEY OF TEXAS INSURANCE LAW--2003

The Advocate (Texas) • 26 The Advoc. (Texas) 96

Perhaps the most discussed case of the year was State Farm Mut. Auto. Ins. Co. v. Campbell, 123 S. Ct. 1513 (2003). The case focused on the reasonableness of a punitive damages award in a suit against State Farm for its failure to settle a liability claim within policy limits. The Court criticized the use of evidence of other misconduct by State Farm. While recognizing that other acts need not be identical to be relevant, the court concluded that the significant amount of evidence that had nothing to do with third-party lawsuits was error. The Texas Supreme Court held that diminished value is not part of the insured cost of repairing an automobile. A number of cases dealt with claims for mold damage caused by water leaks, and the courts considered the use of experts in these and other insurance cases. A couple of courts revisited the issue of insuring punitive damages, and reaffirmed that they are insurable under Texas law. And, finally, the Legislature made a number of changes,...

"...While the decision to terminate the plan did not constitute a breach of fiduciary duty under ERISA, both the employer and the employer's executive could be held liable for acts before termination, such as the failure to fund the plan, failure to hold plan assets in trust, and failure to fulfill statutory disclosure and reporting requirements...."

"...The court concluded the insured did not provide notice of the claim "as soon as practicable" under the policy; formal notification of the claim was not sent until eleven months after the insureds had been served in the underlying action and six days after a multi-million dollar verdict against the insureds...."

"...On remand, the Fifth Circuit held that sections of the Texas law that provided for independent review of determinations by health care entities were not preempted by ERISA, because they are within the saving clause of ERISA and do not offer an additional remedy in conflict with ERISA's exclusive remedy...."

"...An HMO and seller of health insurance brought an action challenging the Texas law that created a statutory cause of action against managed care entities that failed to meet an ordinary care standard for health care treatment decisions, claiming that the statute was preempted by ERISA. Corporate Health Ins., Inc. v. Tex. Dept. of Ins., 314 F.3d 784 (5th Cir. 2002)...."

TOXIC MOLD LITIGATION IN POST-KATRINA AMERICA: PREPARING FOR THE NEXT WAVE

American Journal of Trial Advocacy • 29 Am. J. Trial Advoc. 685

In the early morning hours of August 29, 2005, hurricane Katrina struck the northern coast of the Gulf of Mexico, leaving destruction in her wake. In New Orleans, Louisiana, a city built below sea level, the levees had historically been adequate to protect the city from the storm surge and the fierce battering characteristic of Gulf hurricanes. But the levees could not withstand the assault of the storm surge produced as Katrina advanced. The levees were breached later that morning, allowing the waters of Lake Pontchartrain to flood many parts of the city of New Orleans. On the Gulf coast, homes were destroyed, an estimated 1300 people died, and the consequences of natural forces and human frailty combined to create the greatest and most costly natural disaster in American

history. Refugees, fortunate to escape both the natural and man-made perils, spread into the Southeast and further, seeking to continue on in some semblance of their former lives. Many intend to return home...

"...TEXAS..."

"...Wolfe v. Va. Birth-Related Neurological Injury Comp. Program, 580 S.E.2d 467, 475 (Va. Ct. App. 2003) ("Virginia law recognizes a spoliation or missing evidence inference, which provides that '[w]here one party has within his control material evidence and does not offer it, there is [an inference] that the evidence, if it had been offered, would have been unfavorable to that party.'..."

"...But exclusion of evidence is not the sole remedy[;] [t]he spectrum of remedies includes allowing the party who has been aggrieved by the spoliation to present evidence about the preaccident condition of the lost evidence and the circumstances surrounding the spoliation, as well as instructing the jury on the inferences that may be drawn from spoliation...."

"...); Lincoln Ins. Co. v. Home Emergency Servs., Inc., 812 So. 2d 433, 434-35 (Fla. Dist. Ct. App. 2001) ("A claim for spoliation of evidence has been recognized in Florida jurisprudence as an independent cause of action for negligence where a party is unable to prove their case due to the loss or destruction of key evidence.")...."

Current awareness

Courts continue to be 'contaminated' by the pollution exclusion: A national overview

Practitioner Insights Commentaries • 2019 WL 984081

Thomas F. Segalla and James D. Macri of Goldberg Segalla LLP examine court rulings in the past year that have interpreted the pollution exclusion for insurance coverage.

"...The exclusion also contained a "building heating, cooling and dehumidifying equipment exception," which provided that the pollution exclusion did not apply to injury that was sustained within the building and caused by "smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building."..."

"...Practice Note: The rationale utilized by courts in interpreting pollution exclusions is highlighted in Miller Marital Deduction Trust v. Estate of Dubois, No. 16-cv-1883, 2018 WL 3245038 (E.D. Cal. July 3, 2018), where the court discussed application of two insurers' pollution exclusions to claims related to tetrachloroethylene contamination caused by a dry-cleaning business...."

"...Based on those arguments, the District Court certified the following question to Maryland's Court of Appeals: "Would application of Georgia's interpretation of the pollution exclusion contained in the insurance policy issued by Liberty Mutual Insurance Co. to the Salvation Army as excluding coverage for bodily injuries resulting from the ingestion of lead-based paint violate Maryland public policy?"..."

"...It also provided that if the property became contaminated as a result of the tenant's act, then the tenant had to remediate any hazardous materials...."

USAA's handling of mold claim was spot on, North Carolina appeals court says

WESTLAW Insurance Daily Briefing • 2019 WL 1967980

Insurer USAA did not act in breach of contract or bad faith in handling a claim for water and mold damage to a vacation home, a North Carolina appeals court has ruled.

"...Mold..."

"...She hired Servpro to provide remediation services but never notified USAA of the mold, the opinion said...."

"...The panel said Lyon cannot maintain a cause of action for negligent hiring because USAA only recommended 24/Restore to Lyon as a "preferred contractor" and did not employ the company...."

"...In addition, Barbara Lyon never reported the 2014 mold damage to USAA, so the insurer did not violate the terms of the policy by failing to provide reimbursement for that damage, the panel said...."

Weeding out gray market cannabis operators presents special challenges for states

Practitioner Insights Commentaries • 2023 WL 2394741

Alex Malyshev and Sarah Ganley of Carter Ledyard & Milburn LLP discuss some of the tactics that have been employed by states and regulators to weed out the gray market in cannabis sales.

"...If a landlord fails to commence an application for eviction within five days of receiving written notice or if, after making the application, the landlord fails to diligently prosecute the eviction, then the DA's office will have full authority to directly intervene and bring its own proceeding against the tenant...."

"...Officials, invoking a New York City law that declares any property where unlicensed business is taking place to be a public nuisance, are seeking penalties of \$1,000 per day that the landlords allowed the unlicensed sale of marijuana to take place...."

"...In the coming months, the DA's office will join efforts with the Mayor's office (<http://bit.ly/3kEDzUm>) to continue the crackdown on the city's gray market sellers by identifying evidence of unlicensed cannabis sales and then notifying landlords of their requirement, under RPAPL, to begin eviction proceedings...."

"...The letters also warned sellers that failure to cease operations could render them ineligible to obtain licenses in the future and result in substantial fines as well as criminal penalties...."

Follow-up question

2. "Therefore, even if a landlord's actions violate the regulation, plaintiffs must provide expert evidence linking the violation to their injuries to succeed on a negligence per se claim." So what if the damages are based on other things in addition to toxic tort like FHA violations of a disabled tenant?

Under Texas law, when a landlord hires an unlicensed mold remediator or fails to provide the required 5-day notification to the Texas Department of Licensing and Regulation (TDLR) under [16 TAC § 78.150](#), liability in cases involving toxic tort claims and Fair Housing Act (FHA) violations for a disabled tenant depends on the evidence presented to establish causation and the specific legal standards applicable to each cause of action. The requirement for expert evidence linking violations to injuries applies differently depending on the nature of the claims.

Evidence Required to Establish Liability for Toxic Tort Claims

In toxic tort cases, Texas law requires plaintiffs to establish both general and specific causation. General causation involves proving that the substance in question is capable of causing the type of injury alleged, while specific causation requires evidence that the substance caused the plaintiff's specific injury. Expert testimony is generally required to establish these elements, as causation in toxic tort cases often involves complex scientific and medical issues beyond the knowledge of laypersons ([Cerny v. Marathon Oil Corporation](#), 480 S.W.3d 612 (2015)) [1].

For example, in [Shed v. Johnny Coleman Builders, Inc.](#), the court emphasized that while the plaintiff provided some evidence of general causation through medical records, there was insufficient evidence to show that the mold in the rental home caused the plaintiff's specific injuries. The court noted that expert testimony is necessary to establish specific causation, including evidence of the levels of exposure to the toxic substance and its direct link to the injuries ([Shed v. Johnny Coleman Builders, Incorporated](#), 761 Fed.Appx. 404 (2019)) [2]. Similarly, in [Qualls v. State Farm Lloyds](#), the court held that expert testimony was required to establish causation in a case involving mold infestation, as the specific cause of the mold was not within the general experience of laypersons ([Qualls v. State Farm Lloyds](#), 226 F.R.D. 551 (2005)) [3].

In cases involving mold exposure, courts have consistently required expert evidence to establish both general and specific causation. For instance, in [Plunkett v. Connecticut General Life Ins. Co.](#), expert testimony was deemed scientifically unreliable and insufficient to establish causation because the testing methods and assumptions were flawed, and the evidence did not adequately link the mold exposure to the alleged injuries ([Plunkett v. Connecticut General Life Ins. Co.](#), 285 S.W.3d 106 (2009)) [4]. Similarly, in [Wu v. Lumber Liquidators, Inc.](#), the court excluded expert testimony on medical causation because the expert failed to establish specific exposure levels or rule out other plausible causes of the plaintiffs' injuries ([Wu v. Lumber Liquidators, Inc.](#), Not Reported in S.W. Rptr. (2024)) [5].

Evidence Required to Establish Liability for Fair Housing Act Violations

Under the FHA, plaintiffs must demonstrate that the landlord's actions constituted discrimination or failed to provide reasonable accommodations for a disability. Discrimination claims under the FHA can be based on disparate treatment or disparate impact. Disparate treatment requires evidence of discriminatory intent,

while disparate impact focuses on practices that disproportionately affect protected classes without a legitimate justification ([Texas Dept. of Housing and Community Affairs v. Inclusive Communities Project, Inc.](#), 576 U.S. 519 (2015)) [6].

In cases involving disabled tenants, the FHA requires landlords to make reasonable accommodations to ensure equal housing opportunities. For example, in [Chavez v. Aber](#), the court held that a tenant who suffered adverse actions, such as increased rent and harassment, after requesting accommodations for her son's mental health disabilities had standing to bring discrimination and retaliation claims under the FHA ([Chavez v. Aber](#), 122 F.Supp.3d 581 (2015)) [7]. Similarly, under 42 U.S.C.A. § 3613, an aggrieved person may bring a civil action to obtain relief for discriminatory housing practices, including actual and punitive damages, injunctive relief, and attorney's fees (42 U.S.C.A. § 3613) [8].

While expert testimony is not always required to establish liability under the FHA, plaintiffs must provide evidence of the discriminatory conduct and its impact. In [Texas Dept. of Housing and Community Affairs v. Inclusive Communities Project, Inc.](#), the Supreme Court emphasized the importance of demonstrating a causal connection between the defendant's policy and the alleged discriminatory effect, particularly in disparate impact claims ([Texas Dept. of Housing and Community Affairs v. Inclusive Communities Project, Inc.](#), 576 U.S. 519 (2015)) [6].

Application of Expert Evidence Requirements Across Causes of Action

The requirement for expert evidence linking violations to injuries applies differently depending on the cause of action. In toxic tort claims, expert testimony is essential to establish causation due to the scientific complexity of proving the link between mold exposure and specific injuries ([Shed v. Johnny Coleman Builders, Incorporated](#), 761 Fed.Appx. 404 (2019)) [2]. In contrast, FHA claims may not always require expert evidence, as the focus is often on the discriminatory conduct or failure to accommodate rather than the scientific causation of injuries ([Texas Dept. of Housing and Community Affairs v. Inclusive Communities Project, Inc.](#), 576 U.S. 519 (2015)) [6].

For cases involving both toxic tort claims and FHA violations, plaintiffs must meet the evidentiary standards for each cause of action separately. For example, in [Brown v. Tarbert, LLC](#), the court held that tenants failed to provide evidence that the landlord's conduct was a producing cause of their damages under the Deceptive Trade Practices Act (DTPA), which similarly requires proof of causation ([Brown v. Tarbert, LLC](#), 616 S.W.3d 159 (2020)) [9]. This underscores the importance of presenting sufficient evidence tailored to the specific legal requirements of each claim.

In summary, establishing liability under Texas law for a landlord's failure to comply with mold remediation regulations or FHA requirements involves distinct evidentiary standards for toxic tort claims and FHA violations. Expert testimony is generally required to prove causation in toxic tort cases, while FHA claims may rely on evidence of discriminatory conduct or failure to accommodate. Plaintiffs must address the unique elements of each cause of action to succeed in their claims.

Commentary about this question

§ 15:3. Issues in establishing proof of exposure, injury, and causation

Toxic Torts Practice Guide • 1 Toxic Torts Prac. Guide § 15:3 (2025-1)

This legal analysis addresses principles critical to proving liability in toxic tort cases involving exposure to harmful substances such as mold, with emphasis on the necessity of expert testimony to establish both

general causation (the substance's capability to cause harm) and specific causation (that the substance caused the plaintiff's injury). It explains evidentiary standards under Texas law, including reliance on scientific methodologies like differential diagnosis, the burden of proof at summary judgment, and how expert and lay testimony interplay in this context. The discussion highlights that expert evidence is ordinarily required to link exposure to injury, but in certain cases, especially where causation is clear to laypersons, expert testimony may be unnecessary. It further addresses causation requirements in multifaceted claims including toxic tort and housing-related claims, illustrating the importance of proving a causal nexus between the landlord's conduct—as in hiring unlicensed remediators or failing to provide proper notification—and tenant injuries. The material also considers the impact of multiple causes of action on the evidentiary thresholds for causation proof.

§ 19:4. Litigation issues over indoor air quality

Texas Practice Series TM • 46 Tex. Prac., Environmental Law § 19:4 (2d ed.)

This legal analysis addresses litigation issues related to indoor air quality (IAQ), including mold exposure, toxic torts, and landlord liability. It highlights the necessity of establishing causation through expert testimony to link mold exposure to specific injuries, emphasizing that generalized or extrapolated evidence is insufficient, particularly in multi-plaintiff contexts. The text also discusses landlord duties to remedy hazardous conditions they know or should know about, while outlining the complexity of overlapping claims such as negligence, breach of warranty, and statutory violations. Although the discussion is largely drawn from diverse jurisdictions, the referenced Texas cases on mold and insurance exclusions, as well as procedural aspects concerning proof of causation, align with Texas law principles. The commentary underscores the heightened evidentiary standards in toxic torts and the variable application of expert evidence requirements when multiple causes of action, including Fair Housing Act claims for disabled tenants, are involved.

The above response is AI-generated and may contain errors. It should be verified for accuracy.

Cases, statutes, and regulations

1. Cerny v. Marathon Oil Corporation

Court of Appeals of Texas, San Antonio. • October 07, 2015 • 480 S.W.3d 612 • 2015 WL 5852596

"...Necessity of Expert Testimony. Marathon and Plains argue that the Cernys' nuisance and negligence claims are in the nature of toxic tort claims which fall outside a lay person's general knowledge and experience, and must therefore be proven with expert testimony. See Fulgham, 154 S.W.3d at 90-91 (in determining whether expert testimony is necessary, courts consider whether the alleged conduct involves the use of specialized equipment or techniques unfamiliar to the ordinary person); see also Roark v. Allen, 633 S.W.2d 804, 809 (Tex.1982). We agree. The Cernys pled for damages arising out of their exposure to emissions of "noxious gases and chemicals," including benzene and nitrogen dioxide, from oil well sites and production facilities and from the migration of such hazardous materials on to their property. Plaintiffs seeking relief for injuries of any nature caused by exposure to or migration of a toxic substance must meet the stringent proof requirements imposed by the Texas Supreme Court in Havner and its progeny. See Havner, 953 S.W.2d at 715-16, 720 (expert testimony is necessary in a toxic tort case in order to prove (i) the applicable standard of care, (ii) that the defendant's conduct more than doubled the risk, as shown by two epidemiological studies, (iii) that the plaintiff's injuries were caused by the defendant's conduct, and (iv) that the plaintiff's injuries were not caused by other possible sources); see also Bostic v. Georgia-

Pacific Corp., 439 S.W.3d 332, 347-50 (Tex.2014); Merck & Co., Inc. v. Garza, 347 S.W.3d 256, 259, 265-66 (Tex.2011); Borg-Warner Corp. v. Flores, 232 S.W.3d 765, 770-71 (Tex.2007)...."

2. **Shed v. Johnny Coleman Builders, Incorporated**

United States Court of Appeals, Fifth Circuit. • February 28, 2019 • 761 Fed.Appx. 404 • 2019 WL 994032

"...DISCUSSION. The first claim we analyze is the one for physical injury arising from the presence of mold in the leased premises. Such a claim is one for a toxic tort. To establish causation in toxic tort cases, general causation first must be shown, then specific causation. Knight v. Kirby Inland Marine Inc., 482 F.3d 347, 351 (5th Cir. 2007). General causation means that a substance is capable of causing a particular injury; specific causation looks to whether the substance caused the specific plaintiff's injury. Id. Shed has inferentially provided some evidence of general causation in the form of his medical records, where a doctor stated that his injuries were consistent with mold exposure. However, while that statement can be viewed as evidence supporting general causation, the medical records do not contain sufficient information to show that the mold in the Coleman rental home caused his specific injuries...."

"...DISCUSSION. Shed attempts to analogize his case to Curtis v. M & S Petroleum, Inc., 174 F.3d 661 (5th Cir. 1999). There the court found that an industrial hygienist's expert testimony was sufficient to establish a dispute of material fact on causation in a toxic tort case. Id. at 668-72. That case differs materially from this one. The expert in Curtis was aware that the levels of the toxic substance to which the plaintiff was exposed greatly exceeded the permissible exposure level. Id. at 670-72. Here, there is no evidence or testimony from the doctors who treated Shed concerning the levels of exposure to mold experienced by Shed. Furthermore, unlike the expert in Curtis who concluded that the toxic substance had caused the plaintiff's injury, Shed's doctors observed that the injuries were consistent with mold exposure without concluding that mold was in fact the cause. Therefore, Shed has failed to produce sufficient evidence to create a material issue of fact that the mold in his rental unit caused his physical injury...."

"...There was no evidence that tenant's alleged injuries were caused by mold in rental home, as required to support tenant's toxic tort claims against landlord under Mississippi law...."

3. **Qualls v. State Farm Lloyds**

United States District Court, N.D. Texas, Dallas Division. • March 30, 2005 • 226 F.R.D. 551 • 2005 WL 712401

"...IV. EXPERT TESTIMONY ON CAUSATION IS REQUIRED. Plaintiff contends that a leaking toilet in the powder room used by workmen during her absence created the conditions that allowed the mold infestation to accelerate. Defendant alleges that Plaintiff lacks the requisite formal training or education required to render an opinion as to the cause of the infestation; instead, the cause of the mold levels involves the scientific, technical or other specialized knowledge typical of an expert and beyond the perception of a lay witness. Plaintiff contends that her testimony, the expert report, and Anne Butler's lay testimony conclusively establish that a leak from the powder room toilet was the source of the mold infestation. To establish such an element of complex causation, however, Plaintiff must provide evidence beyond lay opinions. In a case involving complex issues of causation not readily apparent to the fact finder, plaintiff must present admissible expert testimony to carry her burden. The report provided by Plaintiff's expert provides conclusions as to the presence, levels, and likely health hazards of mold cultures in the house. It does not speak to the cause of the mold infestation. If the expert testimony cannot support both general and specific causation, summary judgment for the defendant must be granted. Opinions merely expressing "possibilities" do not suffice to support the admissibility of expert testimony; an expert must supply

more than a bottom line to be of value to the judicial process. Conversely, Defendant provides an expert report that concluded that "the wide variety of molds (sic) recovered from the dust samples suggest the accumulation of spores from many sources and growth of xerophilic fungi." While the Defendant's expert relied primarily on written reports, he observed high humidity and stagnant air, wet basement, dampness in powder room from neighboring greenhouse, and humid summer weather, all contribute to the growth of Xerophilic fungi. The expert further deduces that "the mold (sic) on the animal skins, contents, and furniture items are not due to the leak on the floor of the powder room . the one gallon of water, even if it evaporated, in the powder room had minimal or no effect on fungal growth on the contents and furniture in the living room." Without a contrary expert conclusion, Plaintiff fails to adequately establish that a numerated specified peril under her homeowner's policy caused the mold infestation and resulting property damage. She does not satisfy her burden of establishing a genuine material issue for trial. Id. at *3 (citations omitted, "(sic)"s in original)...."

"...IV. EXPERT TESTIMONY ON CAUSATION IS REQUIRED. No party nor the Court found any Texas cases dealing specifically with mold. The closest case factually cited by the parties is Kemmerer v. State Farm Ins. Co., 2004 WL 87017 (E.D.Pa.2004). Because the case is similar, the Court will quote its analysis in its entirety:..."

"...Insured was required to produce expert testimony on his theory that faulty sewer pipe caused mold to develop in home, in lawsuit against insurer alleging breach of standard Texas homeowners policy, breach of common law duty of good faith and fair dealing, and violations of Insurance Code and Texas Deceptive Trade Practices Act (DTPA), since specific cause was not within general experience and common sense of lay person and insurer provided expert testimony that another source was likely cause of mold. V.A.T.S. Insurance Code, arts. 21.21, 21.55; V.T.C.A., Bus. & C. S 17.41 et seq; Fed.Rules. Evid.Rule 701, 28 U.S.C.A...."

4. **Plunkett v. Connecticut General Life Ins. Co.**

Court of Appeals of Texas, Dallas. • February 27, 2009 • 285 S.W.3d 106 • 2009 WL 485497

"...Testimony by residents' toxicology expert regarding property damages was scientifically unreliable, and thus did not establish either property damage or causation, as required in order for residents of apartment complex to maintain toxic mold exposure/property damages claims against complex owner and entities involved in the development, construction and management of the complex; expert's testimony was based on ambient indoor air quality tests (IAQTs) performed in apartment units during seven month period after complex was closed and the testing of furniture owned by former tenant of one of the units, testing indicated that furniture was contaminated with stachybotrys mold but the mold was not detected by such unit's IAQT, test samples of the furniture were not taken until two years after the last residents vacated complex, and no property item was tested concurrently with its presence in any apartment shown by an IAQT to contain airborne mold...."

"...Personal Injury Claimants. Dr. Rao's opinion in his affidavit was also based on certain factual assumptions he was asked to make. He was asked to assume that "pervasive and uncontrolled" mold was present when residents lived at the apartment complex; that all experienced respiratory or mucosal irritation at the time, which abated when they left; and that leaving was the "only significant change" to their environment. While Dr. Rao relied on the airborne toxigenic mold levels shown by the IAQTs as evidence of exposure, and there does not appear to be a dispute about the residents' apartment occupancy dates, residents do not detail the source and substance of the evidence supporting all the assumptions. Because the only medical evidence on which Dr. Rao relied was Dr. Gray's chart, which we concluded above is no evidence of either a medical diagnosis or causation, Dr. Rao's opinion based on assuming unproven clinical facts can be no evidence and just begs the causation question...."

"...Internist/toxicologist's opinions regarding personal injuries allegedly sustained by residents were not grounded in reasonable medical probability, and thus did not establish either a medical diagnosis or causation, as required

in order for residents of apartment complex to maintain toxic mold exposure/personal injury claims against complex owner and entities involved in the development, construction and management of the complex; internist/toxicologist did not conduct any diagnostic procedures on any of the residents, had not personally seen any resident, and could only opine based on a review of residents' medical histories that there was a possibility of a causal connection between the contaminant exposure alleged and the residents' claimed symptoms...."

5. **Wu v. Lumber Liquidators, Inc.**

Court of Appeals of Texas, Houston (14th Dist.). • June 25, 2024 • Not Reported in S.W. Rptr. • 2024 WL 3160554

"...SUBSTITUTE MAJORITY MEMORANDUM OPINION Appellants Zhaohong "John" Wu and Yanjing Zhou, individually and as next friends of their minor children K.W. and E.W. (collectively, "the Wus"), sued for damages related to mold growth in their home, alleging that the mold was caused by moisture introduced into the home by the alleged improper installation of bamboo flooring purchased from appellee Lumber Liquidators, Inc. and installed by appellee Wood Floor Artisans ("WFA" and, together with Lumber Liquidators, "Appellees"). Appellees moved for a combined traditional and no-evidence summary judgment, challenging the Wus' asserted claims. Appellees also sought to exclude the testimony, opinions, and reports of the Wus' expert witnesses. The trial court rendered summary judgment against the Wus and granted Appellees' motions to exclude. The Wus filed this appeal, challenging the summary judgment and the exclusion of their expert witnesses. We issued our original majority and dissenting memorandum opinions in this case on..."

6. **Texas Dept. of Housing and Community Affairs v. Inclusive Communities Project, Inc.**

Supreme Court of the United States • June 25, 2015 • 576 U.S. 519 • 135 S.Ct. 2507

"...The underlying dispute in this case concerns where housing for low-income persons should be constructed in Dallas, Texas—that is, whether the housing should be built in the inner city or in the suburbs. This dispute comes to the Court on a disparate-impact theory of liability. In contrast to a disparate-treatment case, where a "plaintiff must establish that the defendant had a discriminatory intent or motive," a plaintiff bringing a disparate-impact claim challenges practices that have a "disproportionately adverse effect on minorities" and are otherwise unjustified by a legitimate rationale. *Ricci v. DeStefano*, 557 U.S. 557, 577, 129 S.Ct. 2658, 174 L.Ed.2d 490 (2009) (internal quotation marks omitted). The question presented for the Court's determination is whether disparate-impact claims are cognizable under the Fair Housing Act (or FHA), 82 Stat. 81, as amended, 42 U.S.C. § 3601 et seq. I .A Before turning to the question presented, it is necessary to..."

7. **Chavez v. Aber**

United States District Court, W.D. Texas, El Paso Division. • August 08, 2015 • 122 F.Supp.3d 581 • 2015 WL 4724807

"...Tenant whose monthly rent increased as result of landlord's refusal to accommodate her son's mental health disabilities by allowing him to keep mixed-breed pit bull as emotional support animal in rented duplex, and who allegedly suffered harassment by landlord which ultimately forced her to find new rental home, suffered injury in fact such that she had standing to bring individual discrimination and retaliation claims against landlord under

Fair Housing Act (FHA). Fair Housing Act, SS 802(i)(1, 2), 813(a)(1)(A), 42 U.S.C.A. SS 3602(i)(1, 2), 3613(a)(1)(A)...."

8. § 3613. Enforcement by private persons

42 USCA § 3613

"...(a) Civil action (1)(A) An aggrieved person may commence a civil action in an appropriate United States district court or State court not later than 2 years after the occurrence or the termination of an alleged discriminatory housing practice, or the breach of a conciliation agreement entered into under this subchapter, whichever occurs last, to obtain appropriate relief with respect to such discriminatory housing practice or breach. (B) The computation of such 2-year period shall not include any time during which an administrative proceeding under this subchapter was pending with respect to a complaint or charge under this subchapter based upon such discriminatory housing practice. This subparagraph does not apply to actions arising from a breach of a conciliation agreement. (2) An aggrieved person may commence a civil action under this subsection whether or not a complaint has been filed under section 3610(a) of this title and without regard to..."

9. Brown v. Tarbert, LLC

Court of Appeals of Texas, Houston (14th Dist.). • December 29, 2020 • 616 S.W.3d 159 • 2020 WL 7753658

"...Even if tenants attached unauthenticated residential lease, mold report, and letter from tenants' doctor to their response opposing landlord's no-evidence summary judgment motion, there was no evidence that landlord's conduct constituted a producing cause of tenants' damages, in tenants' action alleging that house leased by landlord contained toxic mold and required repairs in violation of Deceptive Trade Practices-Consumer Protection Act (DTPA). Tex. Bus. & C. Code S 17.50(a)..."

"...Landlord's argument in its no-evidence summary judgment motion, that tenants did not show any evidence that landlord caused tenants' damages, sufficiently encompassed "producing-cause" element of tenants' Deceptive Trade Practices-Consumer Protection Act (DTPA) claims, alleging that house leased by landlord contained toxic mold and required repairs. Tex. Bus. & C. Code S 17.50(a); Tex. R. Civ. P. 166a(i)..."

10. Caldwell v. Curioni

Court of Appeals of Texas, Dallas. • January 07, 2004 • 125 S.W.3d 784 • 2004 WL 33082

"...factual and procedural background. The Caldwells also offered the opinion of Porter, a licensed real estate broker, that "David Curioni should have been aware of, and remediated, the mold prior to renting his house to the Caldwells." The Caldwells contacted the Texas State Department of Environmental Health, who advised them to stay out of the house until the mold problem was fixed and recommended they hire Hulla, an industrial hygienist. Hulla collected and tested mold samples from the property and reported he found several strains of mold, including Stachybotrys, which produces a mycotoxin dangerous to humans. Also, Hulla reported on the amount of mold he discovered, but observed "(t)here are no established standards for permissible airborne fungal concentrations." The Caldwells consulted various doctors for treatment for themselves and their son regarding continuing problems

they allege were caused by the mold. Reports from their doctors attributing their problems to exposure to mold were offered as summary judgment evidence by the Caldwells...."

11. **McBeth v. SERVPRO Industries, Inc.**

Court of Appeals of Texas, Beaumont. • December 19, 2024 • Not Reported in S.W. Rptr. • 2024 WL 5161888

"...IV. Analysis. Assuming without deciding that Servpro/S&R improperly advertised mold assessment or remediation, thus violating the DTPA or other relevant standards, if the unknown substance found in 2017 was not mold, it did not require remediation and could not have led to the mold "contamination" Rachal diagnosed two years later in 2019. Even if this mud-like substance was mold, if it was not toxic mold, the same logic applies: it could not have caused the McBeths' damages. Therefore, the threshold inquiry is whether the evidence shows that the McBeths' home contained toxic mold, or any mold, on June 29, 2017, the date that S&R allegedly should have recognized the "mold" and proceeded accordingly...."

12. **Housing Authority of City of Beaumont v. Landrio**

Court of Appeals of Texas, Beaumont. • October 30, 2008 • 269 S.W.3d 735 • 2008 WL 4735570

"...Provision in lease between city housing authority and tenants in apartments owned by housing authority, which indicated that housing authority was responsible for repairing defects hazardous to life, health, and safety, gave rise to a tort duty on the part of the housing authority to make such repairs, as distinct from its duty to disclose hazards, such that the housing authority waived, under Texas Tort Claims Act, immunity to personal injury claims brought by tenants whose children incurred elevated levels of lead after living in the housing authority's apartments containing lead paint, even though the housing authority had warned tenants of dangers of lead paint in the apartments. V.T.C.A., Civil Practice & Remedies Code S 101.021(1-2)...."

"...Provision of local government code stating that city housing authority was subject to landlord obligations as set forth in certain portions of the Property Code or in any lease or rental agreement, did not apply to personal injury claims, such as those brought by tenants whose children allegedly suffered injury due to exposure to lead paint in housing authority apartments, but rather, housing authority's liability for personal injury claims was governed by the Texas Tort Claims Act (TTCA). V.T.C.A., Civil Practice & Remedies Code S 101.021(2) ; V.T.C.A., Local Government Code S 392.006; V.T.C.A., Property Code S 92.052...."

"...Evidence before the trial court was sufficient to raise jurisdictional fact issues, as to whether city housing authority had timely notice, under the Texas Tort Claims Act pre-suit notice provision, of injuries claimed by various parents who discovered that their children suffered from elevated blood levels after living in city housing authority apartments and ingesting paint in the apartments, precluding grant of city housing authority's plea to the jurisdiction; the housing authority provided renters, including the parents, with information regarding the possibility of lead-based paint exposure in the apartments, and parents notified apartment personnel of diagnoses of elevated blood levels as well as illnesses children experienced after apartment paint chips were found in their mouths. V.T.C.A., Civil Practice & Remedies Code S 101.101...."

13. **Allison v. Fire Ins. Exchange**

Court of Appeals of Texas, Austin. • December 19, 2002 • 98 S.W.3d 227 • 2002 WL 31833440

"...FIE's Motion to Exclude Causation Opinions. Stachybotrys was discovered in the Ballard home in early April 1999. The family moved from the main house to the nanny's apartment, then moved into a hotel on April 23, 1999, after mold was also discovered in the apartment. Allison began having increasing problems with concentration and memory in April through July 1999. After seeing several doctors in Austin, Allison was diagnosed with a type of brain damage called toxic encephalopathy. Several medical professionals, including two leading experts in the study of the health effects of molds and mycotoxins, Wayne A. Gordon, Ph.D. and Eckardt Johanning, M.D., agreed that exposure to mold caused Allison's toxic encephalopathy...."

14. **Texas v. Crest Asset Management, Inc.**

United States District Court, S.D. Texas, Houston Division. • February 29, 2000 • 85 F.Supp.2d 722 • 2000 WL 249254

"...B. Discrimination under the FHA and the TFHA. Once a plaintiff produces direct evidence of discrimination, the burden of persuasion shifts to the defendant to "establish by a preponderance of the evidence that the same decision would have been made regardless of the forbidden factor." Langley, 14 F.3d at 1075; see Price Waterhouse, 490 U.S. at 252-54, 109 S.Ct. 1775; Mooney, 54 F.3d at 1219 n. 18. While not recognizing the correct burden of proof, Defendants have adduced evidence addressing two of the adverse actions of which Texas complains, i.e., failing to compensate Texas for the damages sustained as a result of the June 1998 water leak and failing to renew Texas's lease when it expired on February 28, 1999. In his affidavit and in a letter sent to Texas on July 10, 1998, Thornton states that the apartment complex is not liable for any damage done to Texas's personal property because it was not caused by Defendants' negligence and, thus, under the lease, Defendants were not responsible for the loss. In his affidavit, Thornton also points out that Texas's lease expired by its own terms on February 28, 1999, and asserts that it was not renewed for business reasons, as Texas's behavior had become "erratic and fearsome." He states:..."

15. **Arredondo v. Village on the Lake, LTD**

Court of Appeals of Texas, Houston (14th Dist.). • December 14, 2023 • 681 S.W.3d 853 • 2023 WL 8631465

"...Background: Tenant, who was mother of minor children who lived with her, brought action against landlord and landlord's general partner, alleging familial status discrimination, breach of contract, constructive eviction, and breach of warranty of quiet enjoyment after tenant moved out of apartment two months after moving in due to receipt of multiple noise and other complaints. Landlord counterclaimed for unpaid rent and fees. The 151st District Court, Harris County, granted landlord's motion for traditional and no-evidence summary judgment. Tenant appealed. Holdings: The Court of Appeals, Poissant, J., held that: tenant waived any argument on appeal that landlord and landlord's general partner engaged in disparate treatment discrimination based on familial status under Fair Housing Act (FHA) or Texas Fair Housing Act (TFHA); there was no evidence that provision in rental agreement prohibiting certain conduct had disparate impact on families, as required to support claim of disparate impact discrimination; landlord and general partner were not liable for breach of lease, in absence of any identification of a provision in the lease that landlord allegedly violated; landlord providing warnings and notifications about noise complaints to tenant did not substantially interfere with tenant's use of property, as required element of claims for constructive eviction and breach of warranty of quiet enjoyment; and landlord was entitled to recover for unpaid rent, cleaning fees, unreturned keys and remotes, and other fees from tenant pursuant to parties' lease agreement. Affirmed...."

Additional Research on This Topic

16. **RSS MSBAM2014C17-TX HAH, LLC v. Houston Airport Hospitality LP**

Court of Appeals of Texas, Houston (1st Dist.). • August 30, 2024 • Not Reported in S.W. Rptr. • 2024 WL 3995434

"...1. There is not conclusive or overwhelming evidence of Mold. • HAH's failure to obtain mold-clearance certificates showing that the mold's underlying cause was diagnosed and remediated...."

17. **§ 78.150. Photographs; Certificate of Mold Damage Remediation; Duty of Property Owner**

16 TX ADC § 78.150

"...(b) Not later than ten calendar days after the project stop-date, the licensed mold remediation contractor or company shall provide a Certificate of Mold Damage Remediation to the property owner on a form adopted by the Texas Commissioner of Insurance. The top section of this certificate is signed by a licensed mold assessment consultant and a mold remediation contractor for projects performed under the Texas mold assessment and remediation rules. The Certificate of Mold Damage Remediation must include the following: (1) a statement by a licensed mold assessment consultant (not the licensed mold remediator) that based on visual, procedural, and analytical evaluation, the mold contamination identified for the project has been remediated as outlined in the mold remediation protocol; and..."

"...(a) Not later than ten calendar days after the project stop-date, the licensed mold remediation contractor or company shall provide the property owner with copies of required photographs of the scene of the mold remediation taken before and after the remediation. (b) Not later than ten calendar days after the project stop-date, the licensed mold remediation contractor or company shall provide a Certificate of Mold Damage Remediation to the property owner on a form adopted by the Texas Commissioner of Insurance. The top section of this certificate is signed by a licensed mold assessment consultant and a mold remediation contractor for projects performed under the Texas mold assessment and remediation rules. The Certificate of Mold Damage Remediation must include the following: (1) a statement by a licensed mold assessment consultant (not the licensed mold remediator) that based on visual, procedural, and analytical evaluation, the mold contamination identified for the project..."

18. **§ 78.110. Notification of Mold Remediation Activities**

16 TX ADC § 78.110

"...(a) General provision. A mold remediation contractor or company shall notify the department or the department's representative or designee of a mold remediation, as defined in S78.10(29), when mold contamination affects a total surface area of 25 contiguous square feet or more. The notification shall be: (1) submitted to the department or its representative or designee no less than five calendar days before the anticipated start date of the mold remediation. The mold remediation contractor or company shall retain a confirmation that the department received the notification; (2) submitted on a department-approved form in a manner specified by the department. The form must be filled out completely and properly. Blanks that do not apply shall be marked

"N/A." The "N/A" designation will not be accepted for identification of the work site, building description, building owner, individuals required to be identified on the notification form, start- and stop-dates, or scheduled hours..."

19. § 17.50. Relief for Consumers

TX BUS & COM § 17.50

"...(h) Notwithstanding any other provision of this subchapter, if a claimant is granted the right to bring a cause of action under this subchapter by another law, the claimant is not limited to recovery of economic damages only, but may recover any actual damages incurred by the claimant, without regard to whether the conduct of the defendant was committed intentionally. For the purpose of the recovery of damages for a cause of action described by this subsection only, a reference in this subchapter to economic damages means actual damages. In applying Subsection (b)(1) to an award of damages under this subsection, the trier of fact is authorized to award a total of not more than three times actual damages, in accordance with that subsection...."

"...(a) A consumer may maintain an action where any of the following constitute a producing cause of economic damages or damages for mental anguish: (1) the use or employment by any person of a false, misleading, or deceptive act or practice that is: (A) specifically enumerated in a subdivision of Subsection (b) of Section 17.46 of this subchapter; and (B) relied on by a consumer to the consumer's detriment; (2) breach of an express or implied warranty; (3) any unconscionable action or course of action by any person; or (4) the use or employment by any person of an act or practice in violation of Chapter 541, Insurance Code. (b) In a suit filed under this section, each consumer who prevails may obtain: (1) the amount of economic damages found by the trier of fact. If the trier of fact finds that the conduct of the defendant was committed knowingly,..."

20. § 17.46. Deceptive Trade Practices Unlawful

TX BUS & COM § 17.46

"...(b) Except as provided in Subsection (d) of this section, the term "false, misleading, or deceptive acts or practices" includes, but is not limited to, the following acts: (27) subject to Section 17.4625, taking advantage of a disaster declared by the governor under Chapter 418, Government Code, or by the president of the United States by: (A) selling or leasing fuel, food, medicine, lodging, building materials, construction tools, or another necessity at an exorbitant or excessive price; or..."

"...(a) False, misleading, or deceptive acts or practices in the conduct of any trade or commerce are hereby declared unlawful and are subject to action by the consumer protection division under Sections 17.47, 17.58, 17.60, and 17.61 of this code. (b) Except as provided in Subsection (d) of this section, the term "false, misleading, or deceptive acts or practices" includes, but is not limited to, the following acts: (1) passing off goods or services as those of another; (2) causing confusion or misunderstanding as to the source, sponsorship, approval, or certification of goods or services; (3) causing confusion or misunderstanding as to affiliation, connection, or association with, or certification by, another; (4) using deceptive representations or designations of geographic origin in connection with goods or services; (5) representing that goods or services have sponsorship, approval, characteristics, ingredients, uses, benefits, or quantities which they do not have or that a person..."

21. § 101.021. Governmental Liability

TX CIV PRAC & REM § 101.021

"...A governmental unit in the state is liable for: (1) property damage, personal injury, and death proximately caused by the wrongful act or omission or the negligence of an employee acting within his scope of employment if: (A) the property damage, personal injury, or death arises from the operation or use of a motor-driven vehicle or motor-driven equipment; and (B) the employee would be personally liable to the claimant according to Texas law; and (2) personal injury and death so caused by a condition or use of tangible personal or real property if the governmental unit would, were it a private person, be liable to the claimant according to Texas law.2) personal injury and death so caused by a condition or use of tangible personal or real property if the governmental unit would, were it a private person, be liable to the claimant according to Texas law...."

Follow-up question

3. What federal authorities discuss how civil penalties under the Fair Housing Act are calculated, including whether penalties may accrue daily during ongoing violations, and the maximum penalty amounts authorized under § 3614(d) after inflation adjustments?

Federal authorities provide guidance on the calculation of civil penalties under the Fair Housing Act, including the accrual of penalties during ongoing violations and the maximum penalty amounts authorized under § 3614(d) after inflation adjustments.

Calculation Of Civil Penalties Under The Fair Housing Act

Civil penalties under federal statutes, including the Fair Housing Act, are subject to annual inflation adjustments as mandated by the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015. This Act requires federal agencies to adjust the maximum penalty amounts annually based on a statutory formula. The adjustment is calculated by multiplying the previous year's maximum penalty amount by the cost-of-living inflation adjustment multiplier provided annually by the Office of Management and Budget, and rounding the total to the nearest dollar ([12 C.F.R. § 308.132](#)) [1]. Notices of these adjustments are published annually in the Federal Register by January 15 ([12 C.F.R. § 308.132](#)) [1], ([17 C.F.R. § 201.1001](#)) [2].

Accrual Of Penalties During Ongoing Violations

Federal regulations and statutes provide that civil penalties may accrue daily for ongoing violations. For example, under [12 C.F.R. § 308.132](#) , penalties for certain violations may be assessed for each day the violation continues, with specific daily penalty amounts published annually in the Federal Register ([12 C.F.R. § 308.132](#)) [1]. Similarly, [15 U.S.C.A. § 1264](#) (c)(1) states that for continuing violations, each day constitutes a separate offense, subject to a maximum penalty cap for related series of violations ([15 U.S.C.A. § 1264](#)) [3]. This principle is also reflected in other federal statutes, such as [15 U.S.C.A. § 2069](#) (a)(1), which provides that each day of a continuing violation constitutes a separate offense, subject to a maximum penalty cap for related violations ([15 U.S.C.A. § 2069](#)) [4].

Maximum Penalty Amounts And Inflation Adjustments

The maximum penalty amounts authorized under § 3614(d) are adjusted for inflation pursuant to the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015. The adjustments are calculated using the Consumer Price Index for all Urban Consumers (CPI-U) and are rounded to the nearest dollar ([12 C.F.R. § 308.132](#)) [1]. For example, [40 C.F.R. § 19.4](#) provides tables displaying the operative statutory civil monetary penalty levels for violations occurring after November 2, 2015, with adjustments for inflation applied annually ([40 C.F.R. § 19.4](#)) [5]. These adjustments ensure that penalty amounts remain effective in deterring violations and reflect economic changes over time.

In summary, federal authorities establish that civil penalties under the Fair Housing Act are calculated based on statutory formulas for inflation adjustments, may accrue daily during ongoing violations, and are subject to maximum penalty caps that are periodically adjusted for inflation. Relevant regulations and statutes, such as [12 C.F.R. § 308.132](#) , [15 U.S.C.A. § 1264](#) , and [40 C.F.R. § 19.4](#) , provide detailed frameworks for these calculations and adjustments ([12 C.F.R. § 308.132](#)) [1].

Commentary about this question

§ 24:21. The § 3612 administrative proceeding—The ALJ's decision; relief available

Housing Discrimination Law and Litigation • Housing Discrimination Law and Litigation § 24:21

The legal authorities describe the calculation and assessment of civil penalties under the Fair Housing Act, including maximum penalty amounts and adjustments for inflation under 42 U.S.C. § 3614(d) and related regulations. These penalties vary based on prior violations, with incremental increases authorized through the Debt Collection Improvement Act of 1996 and subsequent inflation adjustments reflected in regulatory updates at 24 C.F.R. § 108.671(a) and its predecessors. The penalties range from approximately \$21,000 to over \$107,000 depending on the respondent's history of violations. The standards for imposing penalties consider factors such as severity, culpability, and deterrence objectives. Separate maximum penalties may be imposed for distinct violations unless they represent a continuous transaction. Federal authorities, including HUD administrative decisions and relevant statute citations, outline the procedural context and limits of civil penalties in both administrative and judicial enforcement of the Act. The document also references federal adjustments to penalties and relevant case law illustrating enforcement practices. No explicit discussion of daily accrual of penalties appears.

APPENDIX 6C. Sample Memorandum In Opposition to Defendant's Post-Trial Motion for Judgment as Matter of Law on Punitive Damages

Housing Discrimination Practice Manual • 4 Housing Discrim. Pr. Man. Appendix 6C

This material outlines federal authorities discussing the assessment and calculation of civil penalties under the Fair Housing Act, particularly under 42 U.S.C. § 3614(d). It notes that initially Congress set maximum civil penalties at \$50,000 for first violations and \$100,000 for subsequent violations, later adjusted for inflation pursuant to the Debt Collection Improvement Act, resulting in current caps around \$55,000 and \$110,000 respectively. The text references federal regulations (28 C.F.R. § 85.3(b)(3)) and agency interpretations regarding penalty calculations per defendant and per violation. Cases such as HUD v. Joseph and others confirm that civil penalties are assessed individually against multiple defendants for repeated violations. Additionally, the discussion clarifies that civil penalties are not construed as daily accruing fines but as statutorily limited amounts per violation, adjusted for inflation. The document addresses the removal of prior punitive damages caps and how courts have considered civil penalties as guides, not limits, when assessing punitive damages, thus reflecting federal authority on civil penalty calculations within the jurisdiction of Texas and broader federal law.

§ 12:51. Enforcement—Administrative enforcement—Issuance of charge

Federal Regulation of Real Estate and Mortgage Lending • 1 Fed. Reg. Real Estate & Mortgage Lending § 12:51 (4th ed.)

Federal authorities under the Fair Housing Act (FHA) outline the calculation of civil penalties for discriminatory housing practices. Penalties are imposed by administrative law judges (ALJs) following HUD investigations and vary based on prior violations: up to \$16,000 for initial violations, \$37,500 for a second violation within five years, and \$65,000 for multiple violations within seven years, with certain distinctions for individuals versus entities. These penalties are adjusted for inflation pursuant to the Federal Civil Penalties Inflation Adjustment Act, with amounts regularly updated as reflected in Federal Register notices. Each violation is defined as a separate and distinct discriminatory practice constituting a continuous occurrence. Penalties are not punitive damages, which only courts may award, but may include actual damages. The imposition of maximum penalties requires consideration of factors

including prior violations, nature of the violation, culpability, and deterrence. Procedures for administrative enforcement and judicial review of these penalties are also delineated.

The above response is AI-generated and may contain errors. It should be verified for accuracy.

Cases, statutes, and regulations

1. § 308.132 Assessment of penalties.

12 CFR § 308.132

"...(a) Scope. The rules and procedures of this subpart, subpart B of the Local Rules, and the Uniform Rules shall apply to proceedings to assess and collect civil money penalties. (b) Relevant considerations. In determining the amount of the civil penalty to be assessed, the Board of Directors or its designee shall consider the financial resources and good faith of the institution or official, the gravity of the violation, the history of previous violations, and any such other matters as justice may require. (c) Authority of the Board of Directors. The Board of Directors or its designee may assess civil money penalties under section 8(i) of the FDIA (12 U.S.C. 1818(i)), and S 308.1(e) of the Uniform Rules (this part). (d) Maximum civil money penalty amounts. Under the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015, the Board of Directors or its designee may assess civil money penalties..."

"...(d) Maximum civil money penalty amounts. Under the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015, the Board of Directors or its designee may assess civil money penalties in the maximum amounts using the following framework: (1) Statutory formula to calculate inflation adjustments. The FDIC is required by statute to annually adjust for inflation the maximum amount of each civil money penalty within its jurisdiction to administer. The inflation adjustment is calculated by multiplying the maximum dollar amount of the civil money penalty for the previous calendar year by the cost-of-living inflation adjustment multiplier provided annually by the Office of Management and Budget and rounding the total to the nearest dollar. (2) Notice of inflation adjustments. By January 15 of each calendar year, the FDIC will publish notice in the Federal Register of the maximum penalties that may be assessed after each January 15, based on the formula in paragraph (d) (1) of this section, for conduct occurring on or after November 2, 2015...."

2. § 201.1001 Adjustment of civil monetary penalties.

17 CFR § 201.1001

"...(a) For violations from December 10, 1996, through November 2, 2015: As required by the Inflation Adjustment Act of 1990, as amended by the Debt Collection Improvement Act of 1996, the Commission has adjusted the maximum amounts of all civil monetary penalties it administers under the Securities Act of 1933, the Securities Exchange Act of 1934, the Investment Company Act of 1940, the Investment Advisers Act of 1940, and certain penalties under the Sarbanes-Oxley Act of 2002 for inflation in the releases and prior regulations listed in the footnotes to Table I. The penalty amounts provided in Table I apply to violations of these statutes that occurred from December 10, 1996, through November 2, 2015, with each column listing the penalty amounts for violations that occurred in a particular time frame. To determine the penalty amounts for violations that occurred prior to December 10, 1996, please refer to the applicable statutory text. To determine penalty amounts for violations after November 2, 2015, please refer to paragraph (b) of this section...."

"...As required(b) For violations after November 2, 2015: The Federal Civil Penalties Inflation Adjustment Act, as amended by the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015 (28 U.S.C. 2461 note), requires that civil monetary penalties be adjusted on an annual basis for inflation. Pursuant to this requirement, the maximum amounts of all civil monetary penalties under the Securities Act of 1933, the Securities Exchange Act of 1934, the Investment Company Act of 1940, and the Investment Advisers Act of 1940, and certain penalties under the Sarbanes-Oxley Act of 2002 are adjusted for inflation in accordance with Table I to this subpart E. The adjustments set forth in Table I to this subpart E will be adjusted annually for inflation. Notice of these adjusted penalty amounts will be published by the Commission in the Federal Register on or before January 15 of each calendar year and will be available, along with the Commission's prior inflation adjustments, on the Commission's Web site at <https://www.sec.gov/enforce/civil-penalties-inflation-adjustments.htm>. The adjusted penalty amounts will apply to all penalties imposed after August 1, 2016, including to penalties imposed the effective date of the adjustment (for the first day the adjustment is effective, the prior year's penalty amounts shall apply), for violations that occur before August 1, 2016, occurred after November 2, 2015. The adjusted penalty amount each year will be the larger of: (1) The maximum penalty amount for the previous calendar year; or (2) An amount adjusted for inflation, calculated by multiplying the maximum penalty amount for the previous calendar year by the percentage by which the Consumer Price Index for all Urban Consumers (CPI-U) for the month of October preceding the current calendar year exceeds the CPI-U for the month of October of the calendar year two years prior to the current calendar year, adding that amount to the amount for the previous calendar year, and rounding the total to the nearest dollar...."

3. § 1264. Penalties; exceptions

15 USCA § 1264

"...(a) Criminal penalties Any person who violates any of the provisions of section 1263 of this title shall be guilty of a misdemeanor and shall on conviction thereof be subject to a fine of not more than \$500 or to imprisonment for not more than ninety days, or both; but for offenses committed with intent to defraud or mislead, or for second and subsequent offenses, the penalty shall be imprisonment for not more than 5 years, a fine determined under section 3571 of Title 18, or both. (b) Exceptions No person shall be subject to the penalties of subsection (a) of this section, (1) for having violated section 1263(c) of this title, if the receipt, delivery, or proffered delivery of the hazardous substance was made in good faith, unless he refuses to furnish on request of an officer or employee duly designated by the Commission, the name and address of..."

"...(c) Civil penalties (B) Not later than December 1, 2011, and December 1 of each fifth calendar year thereafter, the Commission shall prescribe and publish in the Federal Register a schedule of maximum authorized penalties that shall apply for violations that occur after January 1 of the year immediately following such publication. (C) The schedule of maximum authorized penalties shall be prescribed by increasing each of the amounts referred to in paragraph (1) by the cost-of-living adjustment for the preceding five years. Any increase determined under the preceding sentence shall be rounded to-- (iii) in the case of penalties greater than \$100,000 but less than or equal to \$200,000, the nearest multiple of \$10,000; and (C) The schedule of maximum authorized penalties shall be prescribed by increasing each of the amounts referred to in paragraph (1) by the cost-of-living adjustment for the preceding five years. Any increase determined under the preceding sentence shall be rounded to-- (iv) in the case of penalties greater than \$200,000, the nearest multiple of \$25,000. (4) Any civil penalty under this subsection may be compromised by the Commission. In determining the amount of such penalty or whether it should be remitted or mitigated, and in what amount, the Commission shall consider the appropriateness of such penalty to the size of the business of the persons charged, including how to mitigate undue adverse economic impacts on small businesses, the nature, circumstances, extent, and gravity of the violation, including, (FN1) the nature of the substance involved, the severity of the risk of injury, the occurrence or absence of injury, and the amount of the substance distributed, and such other factors as appropriate. The amount of such penalty when

finally determined, or the amount agreed on compromise, may be deducted from any sums owing by the United States to the person charged...."

4. § 2069. Civil penalties

15 USCA § 2069

"...(a) Amount of penalty (1) Any person who knowingly violates section 2068 of this title shall be subject to a civil penalty not to exceed \$100,000 for each such violation. Subject to paragraph (2), a violation of section 2068(a) (1), (2), (4), (5), (6), (7), (8), (9), (10), or (11) of this title shall constitute a separate offense with respect to each consumer product involved, except that the maximum civil penalty shall not exceed \$15,000,000 for any related series of violations. A violation of section 2068(a)(3) of this title shall constitute a separate violation with respect to each failure or refusal to allow or perform an act required thereby; and, if such violation is a continuing one, each day of such violation shall constitute a separate offense, except that the maximum civil penalty shall not exceed \$15,000,000 for any related series of violations. (2) The second sentence of paragraph (1) ofC) The schedule of maximum authorized penalties shall be prescribed by increasing each of the amounts referred to in paragraph (1) by the cost-of-living adjustment for the preceding five years. Any increase determined under the preceding sentence shall be rounded to-- (ii) in the case of penalties greater than \$10,000 but less than or equal to \$100,000, the nearest multiple of \$5,000;C) The schedule of maximum authorized penalties shall be prescribed by increasing each of the amounts referred to in paragraph (1) by the cost-of-living adjustment for the preceding five years. Any increase determined under the preceding sentence shall be rounded to-- (iii) in the case of penalties greater than \$100,000 but less than or equal to \$200,000, the nearest multiple of \$10,000; andC) The schedule of maximum authorized penalties shall be prescribed by increasing each of the amounts referred to in paragraph (1) by the cost-of-living adjustment for the preceding five years. Any increase determined under the preceding sentence shall be rounded to-- (iv) in the case of penalties greater than \$200,000, the nearest multiple of \$25,000...."

"...Any civil penalty under this section may be compromised by the Commission. In determining the amount of such penalty or whether it should be remitted or mitigated and in what amount, the Commission shall consider the appropriateness of such penalty to the size of the business of the person charged, including how to mitigate undue adverse economic impacts on small businesses, the nature, circumstances, extent, and gravity of the violation, including, (FN1) the nature of the product defect, the severity of the risk of injury, the occurrence or absence of injury, and the number of defective products distributed, and such other factors as appropriate. The amount of such penalty when finally determined, or the amount agreed on compromise, may be deducted from any sums owing by the United States to the person charged...."

5. § 19.4 Statutory civil monetary penalties, as adjusted for inflation, and tables.

40 CFR § 19.4

"...Table 1 of this section sets out the statutory civil monetary penalty provisions of statutes administered by the EPA, with the third column setting out the latest operative statutory civil monetary penalty levels for violations that occur or occurred after November 2, 2015, where penalties are assessed on or after January 8, 2025. The fourth column displays the operative statutory civil monetary penalty levels where penalties were assessed on or after December 27, 2023, but before January 8, 2025. Table 2 of this section sets out the statutory civil monetary penalty provision of statutes administered by the EPA, with the operative statutory civil monetary penalty levels, as

adjusted for inflation, for violations that occurred on or before November 2, 2015, and for violations that occurred after November 2, 2015, where penalties were assessed before August 1, 2016...."

6. U.S. v. Steagall

United States District Court N.D. Texas, Fort Worth Division. • January 19, 1950 • 88 F.Supp. 98

"...By 1947 the ceiling price had been dropped on most all commodities except that of rent. The Act of 1947 is designated and referred to as the 'Housing and Rent Act of 1947'. In this Act, Section 205 is brought forward, but the term of punishment provided for is omitted and Section 205 begins with the civil provision which was subsection (e) under the former Act. This again expressly provides that suit to recover such amount may be brought in any Federal, State or Territorial Court of competent jurisdiction within one year after the violation...."

7. Miller v. U.S.

United States Court of Appeals, Fifth Circuit. • January 10, 1951 • 186 F.2d 937

"...The Housing and Rent Act as amended authorizes the recovery of treble damages by the United States based upon rental overcharge violations occurring prior to the effective date of the act so long as they are within the one year limitation period provided for therein. Housing and Rent Act of 1947, S 205, 50 U.S.C.A.Appendix, S 1895...."

"...The merit of the remaining assignment of error depends upon whether section 205 of the Housing and Rent Act after its amendment in 1949, affords authority for the United States to sue for and recover rental overcharges occurring prior to the effective date of that Act and within the one year period therein provided in case the tenant fails to institute an action thereunder within thirty days from the date of the occurrence of the violation. This precise question has been determined adversely to the contentions of appellants by the Court of Appeals for the Third Circuit in United States v. Gianoulis, 183 F.2d 378. The amended statute was there construed as validly authorizing the recovery of treble damages by the United States based upon rental overcharge violations occurring prior to the effective date of the Act, so long as they were within the one year limitation period provided by the statute. We are likewise of the opinion that such is the true intent and effect of the statute as amended, as appears from consideration of the language used in the light of the recognized evil to be remedied, and further elaboration of the reasoning in the Gainoulis case is unnecessary. Upon a question involving generally similar principles of statutory construction and application, we held to the same effect in Bowles v. Strickland, 5 Cir., 151 F.2d 419...."

8. Ola Properties Inc. v. U.S. Dept. Of Housing And Urban Development

United States Court of Appeals, Fifth Circuit. • June 22, 2009 • 336 Fed.Appx. 419 • 2009 WL 1744493

"...I. Ola purchased Wynnewood Gardens Apartments, a multifamily property in Dallas, Texas, with the proceeds from a HUD loan. In January 1997, Olabimtan, as President of Ola, signed a regulatory agreement which imposed, inter alia, a duty to file annual financial statements in accordance with HUD's requirements. One of these requirements is that the financial statements be audited. Ola and Olabimtan were also subject to the civil money penalty statute, 12 U.S.C. S 1735f-15. Under that statute, HUD may impose civil penalties against mortgagors who "knowingly and materially" commit certain violations, including the failure to provide HUD with timely annual audited financial statements. See S 1735f-15(c)(1)(B)(x) (2000) (amended 2004). In November 2005, HUD issued an administrative complaint against Ola and Olabimtan for failure to timely file the required, audited statements for the fiscal years 1999-2003. In March 2006, the HUD Administrative Law Judge ("ALJ") granted HUD's motion

for summary judgment as to liability, but denied it as to the amount of the penalty. In June 2007, the ALJ granted HUD's supplemental motion for summary judgment, assessing penalties of \$70,000 against Ola and \$40,000 against Olabimtan. Petitioners requested a review by the Secretary of HUD, and the Secretary Designee adopted the ALJ's orders without change. Ola and Olabimtan now petition for review...."

9. **Cisneros v. Alpine Ridge Group**

Supreme Court of the United States • May 03, 1993 • 508 U.S. 10 • 113 S.Ct. 1898

"...I .A. The statute, as originally enacted, further provided that monthly rents for Section 8 housing would be adjusted at least annually as follows:..."

10. **Smith v. Woods**

United States Court of Appeals Fifth Circuit. • December 21, 1949 • 178 F.2d 467

"...This action in equity was brought by the Housing Expediter for an injunction and restitution for rent overcharges collected prior to July 1, 1947, pursuant to Section 205(a) of the Emergency Price Control Act of 1942, as amended, 50 U.S.C.A.Appendix, S 901, et seq., and the regulations issued pursuant thereto. The same relief was also sought for violations occurring after July 1, 1947, pursuant to Section 206(b) of the Housing and Rent Act of 1947, as amended, 50 U.S.C.A.Appendix, S 1881 et seq., and the regulations issued pursuant thereto...."

11. **Co-Efficient Foundation v. Woods**

United States Court of Appeals Fifth Circuit. • December 17, 1948 • 171 F.2d 691

"...Where no order had been entered directing a refund of rent overcharges to tenants, and action by Housing Expediter for double or treble damages was brought more than 30 days after date of any alleged violation arising from collection of excess rent, action was not prematurely brought because allegedly filed one day before expiration of 30 days allowed under rent regulation applying where decrease in rent has been ordered, plus the 30 days after violation allowed by statute to tenant in which to bring suit. Emergency Price Control Act of 1942, S 205(a, e), as amended, 50 U.S.C.A.Appendix, S 925(a, e)...."

12. **Texas v. Google LLC**

United States District Court, E.D. Texas, Sherman Division. • June 18, 2025 • 787 F.Supp.3d 357 • 2025 WL 1713256

"...D. Current Seventh Amendment Framework: Tull and Jarkesy. Amount of Civil Penalties • The determination of the quantum of civil penalties does not require a jury trial. Tull, 481 U.S. at 427, 107 S.Ct. 1831...."

13. **Environment Texas Citizen Lobby, Inc. v. ExxonMobil Corporation**

United States District Court, S.D. Texas, Houston Division. • March 02, 2021 • 524 F.Supp.3d 547 • 2021 WL 1529967

"...g. Balancing the Factors. 74. The maximum penalty for each day of violation is \$32,500 for violations occurring before January 13, 2014, and \$37,500 for violations occurring on January 13, 2009, and thereafter. 42 U.S.C. S 7413(e)(2); 40 C.F.R. S 19.4. Plaintiffs contend the total maximum penalty, after deducting for overlapping violations, is \$343,105,000. However, Plaintiffs previously sought \$40,815,618 in penalties on the first remand and now seek \$19,951,278. Exxon contends it should be assessed a penalty in an amount no more than \$1,365,000. ..."

14. § 7413. Federal enforcement

42 USCA § 7413

"...(d) Administrative assessment of civil penalties the Administrator shall request the Attorney General to bring a civil action in an appropriate district court to enforce the order or to recover the amount ordered or assessed (plus interest at rates established pursuant to section 6621(a)(2) of Title 26 from the date of the final order or decision or the date of the final judgment, as the case may be). In such an action, the validity, amount, and appropriateness of such order or assessment shall not be subject to review. Any person who fails to pay on a timely basis a civil penalty ordered or assessed under this section shall be required to pay, in addition to such penalty and interest, the United States enforcement expenses, including but not limited to attorneys fees and costs incurred by the United States for collection proceedings and a quarterly nonpayment penalty for each quarter during which such failure to pay persists. Such nonpayment penalty shall be 10 percent of the aggregate amount of such person's outstanding penalties and nonpayment penalties accrued as of the beginning of such quarter...."